

EXECUTIVE DECISION KIT · V2.1

The Executive AI Governance Kit for Community Banks

Five board decisions, one funded pilot, one data line, and one evidence dashboard.

In 90 minutes, prepare the five board decisions, one pilot memo, one data-line statement, and one quarterly AI dashboard your bank needs to govern AI.

The Five Decisions Your Board Needs This Quarter

This is a decision kit, not a technology briefing. The board does not need a model architecture lecture. It needs to approve the boundaries management will operate inside, see the first controlled pilot, and know what evidence will come back next quarter.

DECISION	BOARD QUESTION	SHOW-ME ARTIFACT
1 · Scope	Where will we allow AI this quarter, and what is out of scope?	AI scope statement and use-case inventory by risk tier.
2 · Data line	How do we keep NPI and sensitive records out of unapproved tools?	Data-line statement, approved tools list, exception log.
3 · Owner	Who owns AI adoption and who can stop a use case?	Named executive owner and committee charter.
4 · Pilot	What one use case are we funding, and how do we know if it works?	Pilot authorization memo with budget, metric, and kill switch.
5 · Evidence	What will management report next quarter?	Quarterly board AI dashboard and evidence index.

Leadership names the outcome, sets the data line, names an owner, funds a pilot with a kill switch, and demands evidence before scale.

Board-ready starter language

Motion 1 · AI scope

BOARD-READY STARTER LANGUAGE

"Management is authorized to pursue AI use cases that improve internal efficiency, documentation, training, customer-service preparation, and workflow support, subject to the institution's approved data line, human-review requirements, vendor oversight, and evidence-retention standards. AI use in or near credit, fraud, AML, account closure, pricing, eligibility, or adverse action requires separate review before launch."

Motion 2 · Data line

BOARD-READY STARTER LANGUAGE

"Customer non-public information, transaction-level records, authentication data, SAR-related information, examiner correspondence, employee personnel records, and confidential legal or compliance materials may not be entered into any public or personal AI tool. Sensitive data may be used only in an approved environment with documented contractual, security, logging, and retention controls."

Motion 3 · Owner and cadence

BOARD-READY STARTER LANGUAGE

"The [COO / CRO / designated executive] is accountable for AI governance. The AI Governance Committee will maintain the inventory, approve use cases, oversee vendors and incidents, and report to the Board or Risk Committee quarterly."

Use existing obligations without over-claiming

Current model-risk guidance, including SR 26-2 where applicable, should be considered when AI supports quantitative, customer-impacting, regulated, or model-like decision processes. Generative AI used for drafting, summarization, research, or workflow support should still be governed through data boundaries, approved tools, human review, vendor oversight, evidence retention, and incident response.

AI used in or near credit must support specific, accurate adverse-action reasons and be monitored for protected-basis outcome gaps, proxy-variable risk, explainability, and governance concerns. Do not rely on opaque AI output where the institution cannot independently explain the credit result.

AREA	EXECUTIVE CONTROL
Credit / ECOA / Reg B	Specific adverse-action reasons, file traceability, explainability, and monitored outcome gaps.
Model-like processes	SR 26-2 where applicable; validation and monitoring scaled to risk, size, complexity, and use.
Vendor AI	Interagency TPRM: due diligence, contract terms, data use, monitoring, exit, and incident notice.
Data protection	GLBA / safeguards expectations, data classification, approved environments, logging, and retention.
Board oversight	Inventory, owner, risk tier, incidents, pilot metrics, and decisions recorded in minutes.

Three questions directors can ask in plain English

ASK	ANSWER STANDARD	EVIDENCE
[] Where are we using AI?	Management can show all approved, piloting, proposed, and retired use cases by risk tier.	AI use-case inventory by risk tier.
[] How do we keep NPI out?	Management can state the data line, identify approved tools, and show exception tracking.	Data-line card, approved tools list, exception log.
[] What happens if AI goes wrong?	Management can name the kill-switch owner, stop triggers, incident path, and board escalation rule.	Kill-switch owner, stop triggers, incident log.

BOARD POSTURE

If management cannot show these artifacts, the institution does not yet have AI governance. It has AI activity.

One example your executive team can imitate

Lakeshore Community Bank is a \$900M-asset community bank with 140 employees. It chooses one internal lending-operations pilot and deliberately keeps AI away from the credit decision.

ELEMENT	LAKESHORE DECISION
Outcome	Reduce loan-document review time without affecting eligibility, pricing, approval, or adverse action.
Data line	Customer NPI only in the contracted enterprise AI environment; no public or personal AI tools.
Owner	COO owns the pilot; Compliance and Lending Ops review outputs.
Pilot	90-day document-summary pilot, fixed budget, time-saved and correction-rate thresholds.
Evidence	Inventory row, pilot memo, reviewer log, correction-rate report, incident log, board dashboard.

Governance and defensibility are the same work done once: scope, data line, owner, pilot, evidence.

Authorize one pilot with a kill switch

A pilot does not need to be profitable in 90 days. It needs to prove whether the use case is worth scaling.

FIELD	BOARD-READY ENTRY
Use case	[Narrow internal workflow; not a final credit, AML, fraud, or customer-impact decision.]
Owner	[Named executive] owns results, exceptions, and stop decision.
Budget / window	[\$X] for [60 / 90] days.
Data boundary	Approved environment only; prohibited data classes named.
Success metric	Hours saved, cycle-time reduction, correction rate, or backlog reduction.
Stop triggers	NPI exception, customer-impacting error, correction rate above threshold, vendor control gap, or incident.
Quarter-end decision	Scale, extend, stop, or redesign based on evidence.

The quarterly AI board report

Use the same dashboard every quarter so the board can see trend, drift, and decisions. Avoid demos as oversight. Demos are optional; the dashboard is the control.

DASHBOARD LINE	CURRENT QUARTER	BOARD QUESTION
AI use cases by tier	Green [], Yellow [], Red []	Where is AI actually used?
Approved tools	[List / changes]	Where may staff go?
Data-line exceptions	[# and status]	Did sensitive data go where it should not?
Pilot results	Hours saved, correction rate, cost, incidents	Is the pilot worth scaling?
Vendor status	Due diligence, contract, monitoring, next review	Can we rely on the vendor?
Decisions needed	Approve, note, stop, extend, or direct	What should the board do today?

Prove value without overstating it

The CFO test is simple: did the pilot reduce measurable work, preserve quality, and avoid new risk? Count license, integration, oversight, and human-review time. Do not count "AI enthusiasm" as ROI.

LINE	MEASURE	EXAMPLE
Baseline	Manual work before pilot	120 document-review hours / week
AI-assisted result	Total time after AI + human review	84 hours / week
Quality	Correction rate	4.5%, threshold is 5%
Control	Data exceptions / incidents	0
Cost	License + integration + review time	[\$X]
Verdict	Scale / extend / stop	Extend 30 days; scale only if correction rate stays below threshold.

EXECUTIVE RULE

A good pilot may be a "not yet." The value is knowing with evidence, not proving the purchase was right.

The companion assets this kit points to

Keep the core PDF short and attach these as editable companion templates. They are the operating artifacts management updates after the board decision.

Governance templates

- AI Risk-Appetite Statement.
- AI Governance Committee Charter.
- Quarterly Board AI Report.
- Examiner Evidence Index.

Pilot and sourcing templates

- Pilot Authorization Memo with Kill Switch.
- Pilot ROI Scorecard.
- AI Sourcing Decision Memo.
- AI Use-Case Inventory Row.

Next step: Run the 90-Minute Executive AI Governance Sprint

In one session, define your AI scope, data line, accountable owner, first pilot, kill switch, and first board dashboard.

1. First 15 minutes: name the business outcome and what is out of scope.
2. Next 15 minutes: write the data line and approved-tool boundary.
3. Next 15 minutes: name the accountable owner and committee cadence.
4. Next 20 minutes: draft the first pilot memo, success metric, and stop triggers.
5. Next 15 minutes: fill the first dashboard lines and evidence index.
6. Final 10 minutes: decide what the board must approve, note, or direct.

By the end, leadership should have a board-ready decision set, not a list of AI ideas.

Govern the program, not the prompt

The executive's job is not to master the technology. It is to make sure the institution uses AI on purpose: with a stated scope, a data line, a named owner, funded and bounded experiments, honest metrics, and a board that can see all of it.

Sources: Federal Reserve SR 26-2 and parallel 2026 agency model-risk updates where applicable; Interagency Third-Party Risk Management Guidance; ECOA / Regulation B and CFPB adverse-action guidance; GLBA information-security obligations and safeguards expectations; U.S. GAO, Artificial Intelligence: Use and Oversight in Financial Services, GAO-25-107197 (May 2025); AIEOG AI Lexicon and Financial Services AI Risk Management Framework (U.S. Treasury / FBIIC / FSSCC, February 2026); AiBI Foundations curriculum.

This kit is a starter artifact, not legal advice or an examiner-approved governance program. Adapt before adoption and route final risk-appetite statements, board motions, pilot authorizations, and exam-facing positions through legal, compliance, risk, and governance review.